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WELLS FARGO

Flash Comment — February 12, 2026

Autos and Auto Parts

Tesla, Inc.

Jan '26 Tracker: New, Lower Peak Begins to Set In

Underweight
Price Target: $125.00

Ticker	TSLA
Upside/(Downside) to Target	**(70.2)%**
Price (02/12/2026)	**$419.19**
52 Week Range	$214.25 - 498.83
Market Cap (MM)	$1,483,513

Source: Company Data, Wells Fargo Securities estimates, and Factset. NA = Not Available, NC = No Change, NE = No Estimate

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Our Call

Available TSLA Jan delivery data shows weakness. Of the 4 major markets we track, Jan TSLA deliveries are trending -18% y/y & -59% m/m. Cont'd weakness in EU, while China domestic deliveries are at lowest since Nov'22, & highest exports since Oct'22.

Initial Thoughts

Deliveries Continue to Trend Lower

Based on available NA, EU, S Korea & China sales data, TSLA sales are trending -18% y/y in Jan & -59% m/m. VA consensus is forecasting Q1 deliveries of 374K, up 11% y/y. The US recovered to >40K deliveries for the first time since Oct'25. EU weakness continued (-26% y/y). Initial headlines showed strong Jan China deliveries w/ exports; however, this was driven by a +71% y/y export increase (likely Giga-Berlin related) w/ domestic sales 80% weaker m/m.

Europe Lower Y/Y; China Sales at 2 year lows

Final ACEA EU sales data will be released later this month. But sales for the major EU mkts have been released. We tracked 11 major EU markets that accounted for ~85% of 2025 TSLA EU deliveries. These mkts are down 26% y/y in Jan, with *Norway seeing the highest decline (-88% y/y)*, where a tax-incentive change had pushed demand forward. Excl Norway, *Tesla EU sales are down ~20% y/y*. Tesla China sales fell to their lowest level since Nov 2022 (-45% y/y).

Low-40K the New Peak in US? (High-50K prior)

Jan'26 results are unofficial; however, industry ests for US show weaker demand. Wards ests TSLA US deliveries were ~44K, +10% m/m and +1% y/y. Motor Intelligence (MI) is forecasting ~40.1K, down 2% m/m & -17% y/y. We expect TSLA deliveries in the US to normalize lower after US IRA expiration in Oct'25. TSLA is now marketing the up to $10K deduction in interest per tax year to qualifying customers, in addition to a $3K trade-bonus on M3 sedans.

Fundamentals Remain Tough

The trend in deliveries remains weak, yet this weakness has not notably impacted TSLA's valuation despite autos making up a majority of TSLA's biz. We don't anticipate TSLA's nixing of the Models S/X to contribute much negative FY impact. We'd flag that January is typically the least predictive month as one of the lowest volume months in most mkts. That being said, an -18% y/y delivery trend to start '26 requires much catch up in Feb-Mar to meet Q1 consensus of +11% y/y.

Feel free to ask us for our TSLA delivery data tracker

All estimates/forecasts are as of 2/12/2026 unless otherwise stated. 2/12/2026 11:53:09EST. Please see page 4 for rating definitions, important disclosures and required analyst certifications. Wells Fargo Securities, LLC does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of the report and investors should consider this report as only a single factor in making their investment decision.

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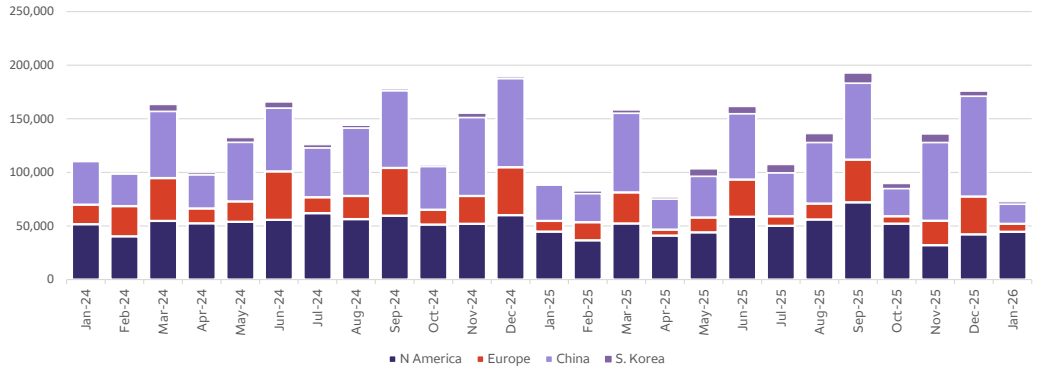
Exhibit 1 - TSLA Global Sales Tracker



Source: Wards; CPCA; ACEA; SMMT; UNRAE; ANFAC; PFA; KBA; Wells Fargo Securities, LLC estimates

Exhibit 2 - TSLA Global Sales Tracker

	Jan-25	Feb-25	Mar-25	Jun-25	Sep-25	Dec-25	Jan-26	M/M	Y/Y
N America	44,820	36,715	52,320	58,655	72,055	42,250	44,610	6%	0%
Europe	9,945	16,888	29,025	34,781	39,837	35,280	7,406	-79%	-26%
China	33,703	26,777	74,127	61,484	71,525	93,843	18,485	-80%	-45%
S. Korea	5	2,222	2,591	6,377	9,069	4,301	1,966	-54%	NM
Total	**88,473**	**82,602**	**158,063**	**161,297**	**192,486**	**175,674**	**72,467**	**-59%**	**-18%**

Source: Wards; CPCA; ACEA; SMMT; UNRAE; ANFAC; PFA; KBA; Wells Fargo Securities, LLC estimates

China shows domestic deliveries

Exhibit 3 - TSLA January Sales in Europe by Country

	Jan-26	Jan-25	Chng.	Mkt Shr Jan-26	Mkt Shr Jan-25	Chng.
France	661	1,141	-42%	0.6%	1.0%	-0.4%
Portugal	377	389	-3%	2.2%	2.7%	-0.4%
Sweden	512	405	26%	2.7%	2.1%	0.7%
Belgium	693	1,004	-31%	2.1%	2.5%	-0.4%
Netherlands	307	946	-68%	1.1%	2.9%	-1.8%
Germany	1,301	1,277	2%	0.7%	0.6%	0.1%
UK	718	1,458	-51%	0.5%	1.0%	-0.5%
Denmark	458	447	2%	3.6%	4.1%	-0.5%
Spain	456	268	70%	0.6%	0.4%	0.3%
Italy	713	408	75%	0.5%	0.3%	0.2%
Norway	83	689	-88%	3.7%	7.4%	-3.6%
Total	**6,279**	**8,432**	**-26%**			

Source: Country Auto Websites (SMMT, UNRAE, ANFAC, PFA, KBA); Wells Fargo Securities, LLC

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Investment Thesis, Valuation and Risks

Tesla, Inc. (TSLA)

Investment Thesis

We have an Underweight rating on TSLA. We see moderating delivery growth driven by lower demand & diminished return on price cuts. We are cautious on margins given likelihood of more price cuts & lower volumes. Moreover, we are concerned about the rollout of their next models and their demand & margins. We also see risks around increased US regulation on AV & risk to the rollout of previously promised technologies (Dojo, Optimus, true FSD, etc.).

Target Price Valuation for TSLA: $125.00 from NC

Our base case outlook is consistent with global auto sales of 8.2M in 10 years, 12% EBIT margins, no dilution, and a 30x multiple in 10 years. Our $125 price target reflects the output of our 3-stage DCF analysis of the core auto business assuming a 13% WACC, 10% mid-term growth, and a 10% terminal growth rate.

Risks to Our Price Target and Rating for TSLA

Upside Risks:

- Improved Deliveries
- New capacity additions
- Positive Optimus/Cybercab Progress
- Positive reviews of the FSD updates
- New market expansion in Energy Gen

Companies Mentioned in Report

Company Name	Ticker	Last Price (02/12/26)	Rating
Tesla, Inc.	TSLA	$419.19	Underweight

Source: Wells Fargo Securities LLC Estimates, FactSet

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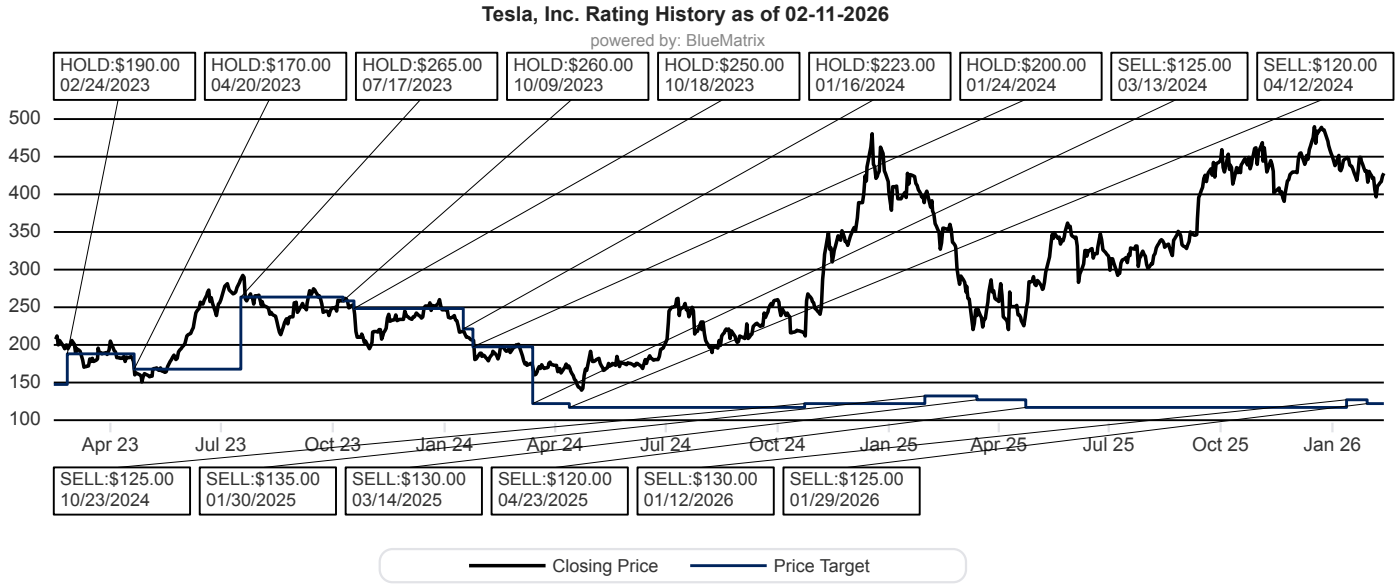

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FINRA regulation requires member firms to assign ratings to one of three rating categories: Buy, Hold and Sell. In accordance with FINRA regulation and solely to satisfy those disclosure requirements in the ratings distribution table and ratings history chart contained in these Required Disclosures, our rating of Overweight corresponds to a Buy rating; Equal Weight corresponds to a Hold rating; and Underweight corresponds to a Sell rating.

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